

Chapter 15

HIGH YIELD BONDS

On January 21, 1991, a contestant on the popular television game show, *Wheel of Fortune*, won a \$22,000 car by correctly guessing the hidden words, "junk bonds." It is the only known time that anyone other than an investment banker made money with junk bonds.

The term "fixed income investment" as applied to junk bonds is a trance-inducing title that implies more than can be promised. While the rate of income may indeed be "fixed," the principal and the ability to continue paying out that income are not. An investor may insist that he has been making money, but he cannot truly make that statement until he gets his principal back and puts it in the bank. The chance that even half of the junk bond investments created in the past four years will pay back investors' principal is near zero.

The word "mania" does not precisely convey the atmosphere of the blind, steady rush by investors to own debt and by borrowers to issue it in recent years. A social mania usually involves an intense *desire* for something, even as unique as tulip bulbs. However, the ceaseless accumulation of outrageously dangerous, even whimsical, debt securities by investors does not appear to be born of desire so much as being a zombie-like repetitive motion accompanied by glassy eyes and a somnambulant brain. Buyers of these products are exhibiting a social trance of the highest order. The *issuers* know what they are doing, though, and they are getting rich.

Few markets reflect the extent of optimism in the Great Asset Mania like that for high yield, or "junk," bonds. Junk bonds are bonds that pay high interest but place the investor's principal at risk. The mere fact that these securities are widely called junk is a testimony to the denial that investors in them blithely practice. In today's financial landscape, this relatively new class of investments is viewed as a fixed component, one that answers the yield prayers of retirees and fulfills a portfolio enhancement role for money managers. The only precaution against default that many junk bond investors exercise is to "diversify" into numerous such issues to